



ClimFin

METHODOLOGICAL NOTE

SUPPORT THE ENHANCEMENT OF THE
INSTITUTIONAL, HUMAN AND TECHNICAL CAPACITY
OF ERITREA SYSTEM FOR CLIMATE FINANCE

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Project Summary

Name of Project:	Support the Enhancement of the Institutional, Human And Technical Capacity of Eritrea System for Climate Finance
Contractor:	ClimFin SRL
Contracting Authority:	The Executive Secretariat of the Sahara and Sahel Observatory Boulevard du leader Yasser ARAFAT, PB 31, 1080 Tunis, Tunisia,
Start/End Date:	11 June 2025 – 29th January 2026 (160 business days)
Primary Location:	Remote with one mission to Eritrea
Project outputs:	Deliverable 1: Methodological Note; Deliverable 2: Stakeholder Mapping, Needs Assessment Report, Training Modules and Kits, Training session agenda and concept notes, Training session reports, Pre- and post-training surveys; Deliverable 3: Terms of reference for NDA, Draft document for integration of Secretariat into NDA, Terms of reference for decision mechanisms, validation workshop report; Deliverable 4: Accreditation Criteria Grid, Key performance indicators for assessing institutional capabilities, Capacity analysis report, Design of training modules.

Consultant Team

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Table of Contents

1. Introduction	3
2. Methodological Approach	4
2.1. Inception Phase	5
2.2. Stakeholder Mapping and Capacity Assessment	6
2.3. Capacity Building Stage	7
2.4. Legal and Operational Guidelines	8
2.5. Accreditation	9
3. Timeline and Workplan	9
3.1. Timeline	10
3.2. Workplan	12
4. Working Modalities	13
4.1. Focal Points	13
4.2. Communication Lines	13
4.3. Coordination and adaptive management	13
4.4. Deliverables review and validation process	14
5. Risk Management	14

1. Introduction

Eritrea is among the most vulnerable countries in the world to climate change impacts, where increasing climate variability is causing recurring droughts, desertification, rising sea levels, warmer seawater temperatures, groundwater depletion, widespread land degradation, and the emergence of diseases sensitive to climate conditions. These climate impacts coupled with low adaptive capacity of the country make Eritrea extremely vulnerable to climate change. To tackle challenges and impacts from climate change, Eritrea is working to improve its access to the Green Climate Fund (GCF). Through an initial readiness phase in 2019, Eritrea's GCF National Designated Authority (NDA), namely the Ministry of Land, Water and Environment built basic structures and capacities to navigate and engage with the GCF more effectively. In 2024, the current readiness phase was approved by GCF, to build on the groundwork established during phase one, and deepen Eritrea's engagement and capacity in key areas.

To further support these capacity building and institutional strengthening efforts and implement the second readiness project, the Sahara and Sahel Observatory (OSS) and the Ministry of Land, Water and Environment of Eritrea have recruited ClimFin SRL to build the capacity of key Eritrean stakeholders involved in climate change action. The primary objective of this consultancy is to enhance the institutional framework and technical capacities of the Ministry of Land, Water and Environment of Eritrea, the GCF Team of Eritrea, and relevant stakeholders to effectively plan for, access, manage, and deploy climate financing through the GCF.

The key objectives of the assignment can be summarized as follows:

- Strengthen NDA and GCF team capacities
- Build frameworks for governance and coordination
- Conduct capacity building and training
- Identify and support entities for GCF accreditation

The key deliverables and sub-deliverables of this assignment are:

- **Deliverable 1:**
 - The Methodological Note
- **Deliverable 2:**
 - Stakeholder Mapping
 - Needs Assessment Report
 - Training session agenda and concept notes
 - Development of Training Modules and Kits
 - Training session reports
 - Pre- and post-training survey results
- **Deliverable 3:**
 - Terms of References (ToRs) for the functioning of the NDA
 - Draft document for integration of Secretariat into NDA structure
 - Terms of Reference for decision mechanisms
 - Validation Workshop Report
- **Deliverable 4:**

- Development of a grid based on GCF accreditation criteria
- Key performance indicators for assessing institutional capabilities
- Capacity analysis report
- Design of training module on accreditation needs

2. Methodological Approach

ClimFin's overall strategy of this assignment will include a participatory, gender-responsive, country-owned and inclusive approach, ensuring alignment with GCF country ownership, sustainability and inclusion policies and key investment principles, and an emphasis on building institutional sustainability and national ownership. The methodology underpinning this consultancy is anchored in Eritrea's national climate and development priorities, including their Nationally Determined Contribution (NDC), sectoral and development strategies, 2017 Eritrean Environmental Protection, Management and Rehabilitation Framework, and any emerging work or progress on the National Adaptation Plan (NAP) processes. The assignment will be completed across 5 phases of implementation, as summarized in Table 1 below and outlined in this section.

Table 1: Overview of implementation phases, key activities and associated deliverables

Phase	Key Activities	Associated Deliverables
Phase 1: Inception	Kick-off Meeting with OSS and the NDA Initial review of documentation, including the Readiness proposal, the NDC, the Third National Communication, and compilation of requests for documents from the NDA and OSS Development of draft questionnaire to assess NDA capacity Development of Methodological Note	Deliverable 1: - Methodological Note
Phase 2: Stakeholder Mapping and Needs Assessment	Stakeholder mapping and institutional analysis Technical, human, and institutional capacity needs assessment for NDA and key stakeholders Identification of barriers to accessing climate finance through GCF	Deliverable 2: - Stakeholder Mapping - Needs Assessment Report - Training session agenda and concept notes - Development of Training Modules and Kits - Training session reports - Pre- and post-training survey results

Phase 3: Stakeholder Engagement and Capacity Building	Design of training materials and modules Delivery of in-person capacity building workshop Pre-and post-training evaluations	
Phase 4: Legal and Operational Guidelines	Drafting legal and policy frameworks for NDA Developing operational guidelines for NDA functioning Development of No-objection procedure	Deliverable 3: - Terms of Reference for the functioning of the NDA - Draft document for integration of Secretariat into NDA - Terms of Reference for decision mechanisms - Validation Workshop Report
Phase 5: Accreditation	Development of a matrix and scorecard with key performance indicators (KPIs) of accreditation requirements Identify possible entities for accreditation in consultation with the NDA Apply the developed scorecard to the identified entities and develop a capacity analysis report with recommendations on selected entities Development of training materials focused on GCF accreditation	Deliverable 4: - Development of a grid based on GCF accreditation criteria - Key performance indicators for assessing institutional capabilities - Capacity analysis report - Design of training module on accreditation needs

2.1. Inception Phase

The Inception Phase covers the initial two week period covering the kick-off meeting, clarification of communication channels, updates of the workplan and detailed planning of workshops, and consultation with OSS and the Eritrean Stakeholders. The assignment began with the kick-off meeting held on 19th June 2025, between OSS, the Ministry of Land, Water and Environment, and ClimFin. The notes from this kick-off meeting and Powerpoint slides were circulated to OSS and the NDA on the 20th June 2025. Following the kick-off meeting, the ClimFin has worked on completing an initial desk review of relevant documents including the Readiness proposal, the NDC, the Third National Communication. These documents will inform the development of all deliverables and ensure they are country-driven and answer to national priorities. Additionally, we understand UNEP is currently undertaking the development of the NAP process in Eritrea and would welcome the opportunity to discuss with relevant colleagues the progress of this development. Consultations with the UNEP team will help to ensure that ClimFin's activities do

not duplicate activities planned for the NAP process, and will also reveal areas of synergy whereby ClimFin's work with the NDA of Eritrea can reinforce and strengthen the overall NAP process. To support this work, we have created the following list of documents ClimFin is requesting access to:

List of documents requested by ClimFin:

- *2017 Eritrean Environmental Protection, Management and Rehabilitation Framework*
- *Any documentation related to the updated NDC, including in-progress drafts that are not confidential*
- *Any relevant internal documents of the NDA on its operations, functions, structures*
- *Documents relating to the NAP process*
- *Any documents relating to Eritrea's climate change adaptation and mitigation priorities and its project pipeline*

The Inception Phase also includes the development of an updated and detailed timeline and workplan, as presented in section 3. This includes proposed dates for the in-country travel to Eritrea for capacity building workshops. Additionally, ClimFin has prepared the initial questionnaire for the NDA and relevant stakeholders to assess initial capacity and inform the Needs Assessment Report for comments and feedback from OSS and the NDA. This questionnaire is included as Appendix 1.

2.2. Stakeholder Mapping and Capacity Assessment

The second phase will include the Stakeholder Mapping exercise and the NDA Capacity Assessment. The stakeholder mapping will begin with the stakeholders identified in the approved Readiness proposal who are identified as the government constituents of the National Climate Change Steering Committee. The stakeholder list will then be expanded through landscape mapping, such as a review of stakeholders involved in project development and implementation across all climate funds, and consultations with the NDA. Stakeholders will include academia/universities; private sector, CSOs, accredited entities, GEDSI organizations, and other relevant entities. Given the importance of sustainability and inclusion at GCF, particular attention will be paid to mapping women's groups, youth networks, and organizations representing persons with disabilities. The mapping exercise will help us to understand the roles, expectations, and influence of each stakeholder in the climate finance process.

In parallel to the stakeholder mapping exercise, we will also begin the capacity needs assessment of the NDA to evaluate its readiness for climate finance access and management. The assessment will focus on technical, human, and institutional capacity gaps related to the performance of key functions for NDAs specified by the GCF. These key functions include:

- Providing broad, strategic oversight of the GCF's activities in Eritrea;
- Encouraging relevant public, private, and civil society stakeholders to identify sectors to be financed by the GCF;

- Communicating nominations and no-objection letters to entities (sub-national, national, public and private) seeking accreditation to the GCF;
- Implementing the no-objection procedure for concept notes and projects to be submitted to the GCF to ensure consistency of funding proposals and national climate change plans and priorities; and
- Providing directives for funding assistance through GCF's Readiness and Preparatory Support Programme in Eritrea.

The first step in this process is the Capacity Questionnaire (Appendix 1 to this Methodological Note) which will assess the capacity of the NDA to perform its core functions in relation to GCF. We will also create a matrix of functions the NDA needs to be able to execute and may be supplemented with additional functions that might be considered optional but important to accessing climate finance including inclusivity and representation in the NDA operations. The capacity needs assessment will be informed by the specific functions and capacities required of the NDA and will also include best practices from NDAs around the world while ensuring the alignment with Eritrea's national climate policy frameworks. The report will establish a baseline and will also identify key areas where improvements should be made, in alignment with GCF's key investment and sustainability and inclusion policies, and will make recommendations for making the identified improvements.

2.3. Capacity Building Stage

During Phase 3 of implementation, we will focus on the design and delivery of customized training modules and resources for the NDA and key stakeholders. Training materials will be learner-focused and customized for the Eritrean context, including:

- Information about climate change processes and impacts in Eritrea. This module will introduce the concept of socially-differentiated impacts (e.g., impacts that vary by gender) and incorporate the up-to-date information about how climate change is experienced differently by different groups (e.g., women, persons with disabilities, resource dependent occupations, etc);
- The policy and institutional landscape for Eritrea's response to climate change, including policies relating to gender, persons with disabilities, and other groups that are disproportionately vulnerable to the impacts of climate change; and
- Other localized information as indicated by the NDA and OSS.

The modules and resources will include materials and methodologies that have been field tested and improved over several iterations and we will include participatory activities and exercises aimed at developing important skills (e.g., problem analysis, theory of change formulation, GEDSI analysis, and other project-relevant tasks). As outlined in the contract and ToR the main training package will include three modules focusing on i) key concepts of climate change and climate finance, ii) the development of GCF-eligible projects, and iii) the integration of GCF fiduciary principles and standards. We will develop draft concept notes and agendas for the training sessions for feedback and approval from OSS and the NDA. These modules will include the development of comprehensive PowerPoint presentations and training kits for each session, including worksheets, guided exercises, and enrichment activities. Modules will incorporate

gender-responsive design and accessibility considerations and will build understanding of and capacity to address GCF's Gender Policy in project design and appraisal. As noted during the kickoff meeting, all training tools and modules will be designed for offline use. The Powerpoints will be annotated with extensive speaker notes, so that they can be reused and so that learners can guide themselves through the materials. We will also include pre and post surveys to assess uptake and learner satisfaction with the materials, including disaggregated questions to evaluate inclusiveness and gender sensitivity.

2.3.1. In-person Workshop

The three modules will be delivered during an in-person workshop in Eritrea, with OSS, the NDA, GCF colleagues from the Africa Regional Desk as identified in the kick-off meeting, and other identified stakeholders in consultation with the NDA and OSS. ClimFin will support the participant selection to ensure representation of GEDSI groups and reflect diverse sectoral voices where possible. In tandem with the workshops, the ClimFin team will conduct consultations with OSS, the NDA, and GCF colleagues to better understand capacity constraints and support the development of all deliverables. Following the completion of the training we will submit a training session report that will outline key lessons, recommendations, and feedback from participants.

Based on the timeline of deliverables, the preliminary identified dates for this workshop are 15th to 18th September 2025, as outlined in section 3 below. However, we stand ready to negotiate a suitable date for the attendance of all participants if these identified dates are not suitable. ClimFin would like to finalize the dates of travel as soon as possible to begin the travel arrangements and visa processes.

ClimFin plans to send Team lead and climate finance expert Keith Bettinger and Capacity Building Specialist Rocio Vizuite Fernandez to Asmara for the in-person workshop conducted in English. As outlined in the ToR and contract, ClimFin will cover the costs associated with travel for two consultants to Asmara, including flights, accommodation, food, and visas. To support the visa application process, ClimFin will reach out to the NDA to request supporting documentation once we have confirmed requirements with the Eritrean embassy. The other costs and logistical arrangements related to the workshop will be undertaken by OSS.

2.4. Legal and Operational Guidelines

Phase 4 of the consultancy implementation, is the drafting of legal and policy documents to facilitate the integration of the NDA secretariat into Eritrea's governance structure, ensuring alignment with the relevant national frameworks, policies, and strategies. As discussed in the kick-off meeting, Climfin understands many of the ToRs, will serve as standard operating procedures (SOPs). We will develop SOPs that include the regulations governing the NDA, roles and responsibilities in the NDA, and a model for the no-objection letter process and project prioritization criteria. These SOPs will incorporate global best practices from successful NDA approaches and will be consistent with Eritrean law, national climate strategies, and GCF requirements, as ensured by the guidance and expertise of our legal expert, Solongo Zulfataar. The SOPs will also integrate provisions to ensure equitable stakeholder participation. Following

the submission of these documents, we will hold a validation workshop with the NDA members and key stakeholders, including GEDSI representation, to refine the proposed structures, operations, and implementation of processes. The ClimFin team will also work with the NDA to formulate organigrams that illustrate the NDA's relationship to other entities within the Eritrean government. The organigrams will include the no-objection letter procedure, as well as the relationship between the proposed NDA Secretariat and the NDA. In addition, the ClimFin team will endeavor to coordinate with the UNEP NAP team to ensure that all work and deliverables are aligned with any institutional strengthening efforts that are undertaken in association with the GCF NAP project.

2.5. Accreditation

The final stage of the consultancy workplan is support for Accreditation of Eritrean national entities to the GCF. The first step will be the development of a matrix and scorecard on GCF accreditation requirements. The scorecard will also include additional best practice criteria, such as an entity's alignment with GoE climate change priorities, strategies, and NDC objectives and capacity to utilize multiple financing modalities. Together the formal accreditation requirements and best practice considerations will constitute the key performance indicators for potential entities. We will work with the NDA to identify a list of potential entities and will then administer the scorecard against these entities. The application of the scorecard will be designed to result in a shortlist of entities for potential nomination by the NDA. Based on the results of the scorecard assessment, we will develop a capacity analysis report and formulate recommendations for the NDA on the best potential entities who can be considered as good candidates for accreditation. Finally, we will design training modules focused on GCF accreditation standards, processes, and needs for the NDA and potential entities. As outlined above and in the kick-off meeting, all training materials will be gender-responsive, accessible, and designed for offline use.

The GCF is holding its 42nd Board Meeting from 30th June to 3rd July 2025, where multiple action items on Accreditation are scheduled to be discussed with the overall aim of the items being a reform package aiming to streamline the GCF accreditation process. These action items include the Accreditation Framework, the Policy on fees for accreditation, the Updated monitoring and accountability framework for accreditation, and the Revised approach to legal arrangements with accredited entities. ClimFin will keep abreast of the discussions during the Board meetings as the approval of new and/or revised Accreditation Policies will have an impact on this deliverable.

3. Timeline and Workplan

The assignment officially commenced on 19th June 2025 with the kick-off meeting. The timely execution of the contract and deliverables depends on the responsiveness and feedback from OSS and the Ministry of Land, Water and Environment. As outlined in section 4 below, working modalities, the timeline outlined in Table 2, and the workplan outlined in Figure 1, the submission of the final draft is contingent on a two week review period for OSS and the NDA to provide inputs and comments and a one week finalization period for ClimFin. ClimFin regards the submission of the first draft of documents when adhering to the deliverable deadlines outlined in the contract.

3.1. Timeline

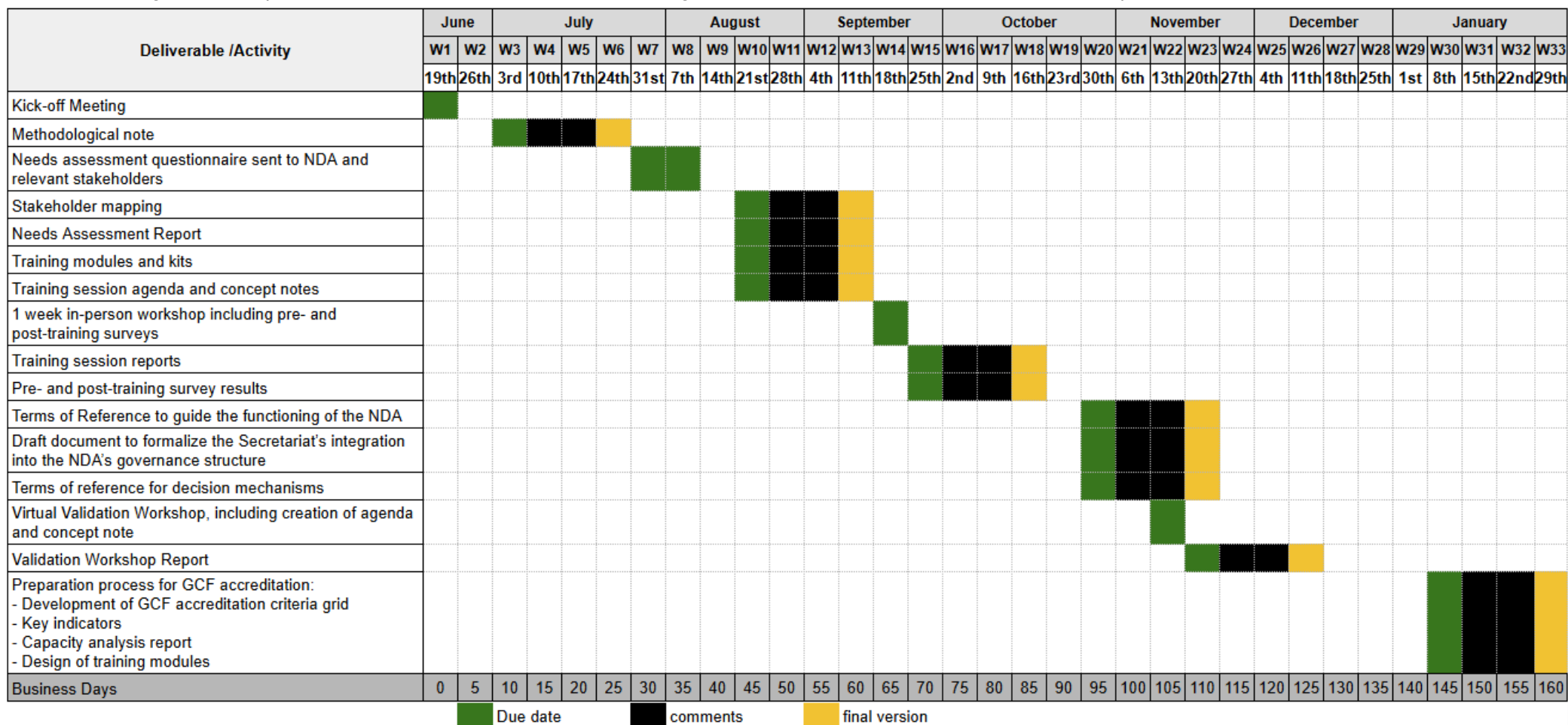
Table 2: Deliverable Timeline

Deliverable		Submission of first draft	Submission of final draft
Deliverable 1	Methodological Note	3 July 2025	24th July
Deliverable 2:	Needs assessment questionnaire sent to NDA and relevant stakeholders	31st July - 14th August	
	Stakeholder Mapping	21st August	11th September
	Needs Assessment Report	21st August	11th September
	Development of Training Modules and Kits	21st August	11th September
	Training session agenda and concept notes	21st August	11th September
	Training session delivery (Mission, in-country)	15th to 18th September	
	Training session reports	25th September	16th October
	Pre- and post-training survey results	25th September	16th October
Deliverable 3	Terms of Reference for the functioning of the NDA	30th October	20th November
	Draft document for integration of Secretariat into NDA	30th October	20th November
	Terms of Reference for decision mechanisms	30th October	20th November
	Virtual Validation Workshop	13th November	
	Validation Workshop Report	20th November	18th November
Deliverable 4	Development of a grid based on GCF accreditation criteria	8th January	29th January
	Key performance indicators for assessing institutional capabilities	8th January	29th January

	Capacity analysis report	8th January	29th January
	Design of training module on accreditation needs	8th January	29th January

3.2. Workplan

Figure 1: Workplan of the submission of deliverables, including review time for OSS and the NDA, and workshop dates.



4. Working Modalities

To ensure a streamlined and well coordinated approach to completing these deliverables, the following working modalities will be established between ClimFin, OSS, and the Ministry of Land, Water and Environment of Eritrea.

4.1. Focal Points

Key focal points have been appointed across institutions and teams to facilitate timely communication, accountability, and technical alignment. These include:

Table 3: Focal points of key entities involved in completion of the consultancy

Entity	Focal Point(s)
OSS	
Ministry of Land, Water and Environment of Eritrea	
ClimFin	Keith Bettinger

4.2. Communication Lines

All communications will be channeled through the appointed focal points listed above. As noted in the kick-off meeting, ClimFin will engage directly with OSS on all matters, and will only engage directly with the Ministry of Land, Water and Environment when cleared by OSS to do so. The focal points serve as the central liaison between ClimFin, OSS, and the Ministry of Land, Water and Environment of Eritrea. Formal communications, including requests for input and feedback and the submission of deliverables, will be conducted via email and/or shared drives.

4.3. Coordination and adaptive management

To ensure the timely completion of high quality deliverables, ClimFin will hold bi-monthly coordination calls with OSS, NDA, and other key project partners. These calls will serve as a venue to monitor progress on deliverables, address implementation challenges in real-time, and adapt workplans as needed based on evolving priorities or contextual shifts. These bi-monthly calls will provide a robust feedback and support mechanism that allows for adaptive management, enhanced collaboration, and ensures that the project remains responsive and results orientated throughout its implementation.

4.4. Deliverables review and validation process

ClimFin will share all deliverables with both OSS and the Ministry of Land, Water and Environment of Eritrea. A review timeline of two weeks will be provided for each deliverable, unless otherwise agreed upon. Upon the completion of the review period, ClimFin will work to finalize the

deliverables over an additional one week period. If this is not feasible, ClimFin will notify both OSS and the NDA of the alternative submission date.

5. Risk Management

ClimFin has identified the following risks and mitigation measures to the implementation of this project and completion of the deliverables. Risk management will be a continuous process, integrated into coordination mechanisms and work plan reviews.

Risk	Mitigation Measure
Delays stakeholder feedback	Clear feedback timelines will be established and confirmed in coordination meetings. The biweekly coordination meetings will also be used to track pending responses and escalate delays early. The ClimFin team will maintain an open communication channel with OSS and the Eritrean NDA which should help to ensure timely feedback and progress.
Lack of or limited availability of data	ClimFin will work directly with the NDA to collect relevant documents and data from the NDA itself and any relevant departments and ministries within the government. When problems arise in accessing data or documents, ClimFin will raise these via email and during the coordination calls to discuss a path forward.
Travel constraints, such as problems obtaining visas and flight delays; regional security issues	The process for visa applications and travel logistics will be initiated well in advance of the selected workshop date. ClimFin will coordinate closely with the NDA and OSS for official invitational letters and logistical facilitation in the visa process as necessary. In the scenario where travel is not possible, ClimFin will maintain readiness for hybrid or fully virtual delivery of the workshop.
Underestimation of the time and level of effort required for the deliverables	Ongoing communication with OSS and management calls will ensure alignment between the expectation of the client's representatives and content, quality, and timely delivery of deliverables